



Cambridge International AS & A Level

ECONOMICS

Paper 1 Multiple Choice

9708/12

October/November 2022

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.



Solved by :-

Lavak Mushtaq

This document has **12** pages. Any blank pages are indicated.

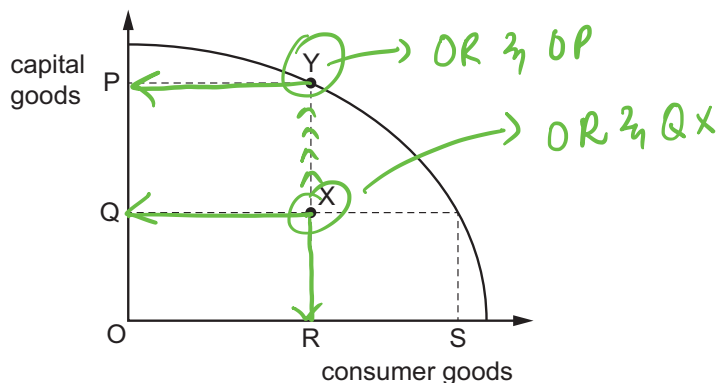
2

- 1 What is a function of money? (medium of exchange, store of value, unit of account and standard of deferred payments)
- ☒ A to act as a medium of exchange
 - ☐ B to be divisible into small units *Characteristics*
 - ☐ C to enable bartering to take place *Barter*
 - ☐ D to maintain its value when inflation is high
- 2 In a planned economy, what will determine the allocation of scarce resources? *Government*
- ☐ A a mixture of private and central decision making *Mixed*
 - ☒ B the decisions of central government
 - ☐ C the forces of demand and supply *Market, Price mechanism*
 - ☐ D the revenue generated from direct and indirect taxes *These are funds used*
- 3 A key concept in classifying goods is whether a good is rival or non-rival.
Which good is rival in consumption? *↓ Consumption by one individual reduces consumption for other*
- ☒ A an ice cream (*diminishing MU*)
 - ☐ B street lighting
 - ☐ C a radio broadcast
 - ☐ D the internet
- opinions / value judgements*
- 4 What is a normative statement?
- ☐ A A firm receiving a government subsidy will increase the supply of a good. *Yes!*
 - ☒ B Negative externalities are the most serious market failure.
 - ☐ C A rise in incomes will lead to a rise in demand for normal goods. *Yes!*
 - ☐ D A rise in the additional rate of income tax will decrease the incentive to work. *Yes!*

Normative statements. Normative statements contain a value judgment. They contain words such as "have to", "ought to", "must", "should" or nonquantifiable adjectives such as "important," that cannot be objectively measured. Accordingly, normative statements cannot be verified by scientific methods.

3

- 5 The diagram shows an economy's production possibility curve (PPC). The economy has moved from X to Y.



What can be deduced from the diagram?

- A Current living standards have fallen. *Improved*
- ☒ B The economy has become more efficient. *Yes!*
- C There has been a rise in unemployment. *fall*
- D There has been an opportunity cost of OR consumer goods. *Still being produced*
- Supply ↓ (P↑) P↑ T.E↑ (inelastic)*
- 6 An indirect tax is imposed on a product, causing total expenditure by consumers to increase.

Which row identifies this situation?

	price	price elasticity
A	decreases	elastic
B	decreases	inelastic ✓
C	increases ✓	elastic
☒ D	increases ✓	inelastic ✓

- 7 The price elasticity of the supply of yoghurt is +1.5.

If the demand for yoghurt rises and price rises by 20%, how much more will be supplied to the market?

- A 0.3% B 3.0% C 13.3% ☒ D 30%

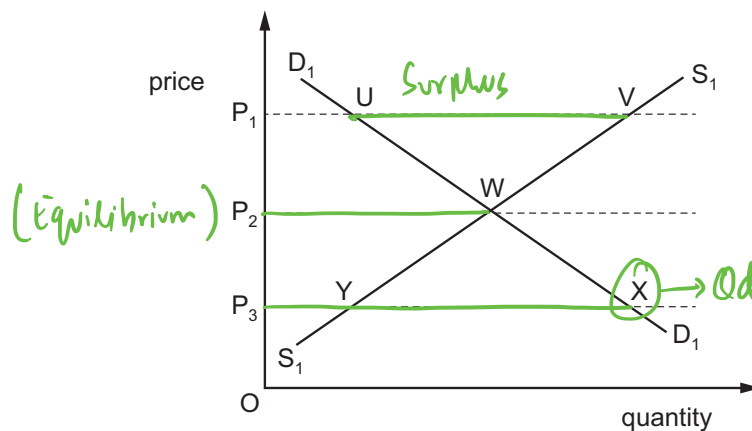
$$PES = \frac{\% \Delta \text{ in } Q_s}{\% \Delta \text{ in price}}$$

$$+1.5 = \frac{x}{20\%}$$

$$x = 30\%$$

4

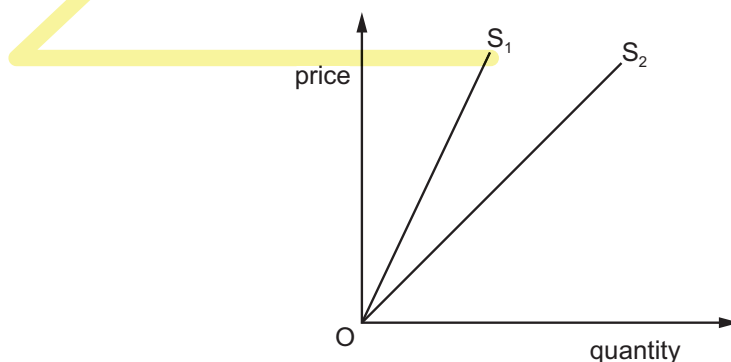
- 8 The diagram shows the market demand for and supply of a good.



Which statement is **not** valid?

- A At price OP_1 , UV represents the market surplus. *Above equilibrium, correct*
- B At price OP_3 , P_3X represents the quantity that consumers are able and willing to buy. *Correct*
- ☒ C If price were to fall from OP_1 to OP_3 , the extra quantity demanded would be equal to the extra quantity supplied. *It's not rectangular hyperbola, incorrect*
- D Price OP_2 is the market equilibrium price. *Correct*

- 9 The diagram shows two linear supply curves labelled S_1 and S_2 , where S_2 is a 45° line.



$PES = 1$

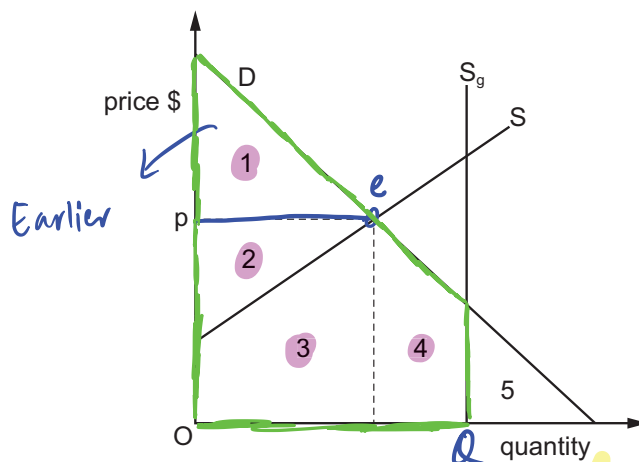
same % change

Which statement about the price elasticity of supply is correct?

- A The price elasticity of supply is different at every point along both S_1 and S_2 . *NO*
- B The price elasticity of supply of S_1 is elastic and S_2 is unit elastic. *No!*
- ☒ C The price elasticity of supply of S_1 is inelastic and S_2 is unit elastic.
- ☒ D The price elasticity of supply is unit elastic at every point along both S_1 and S_2 .

5

- 10 A country has health care provided by the free market. This is replaced by the government provision of S_g free health care.



What is the change in consumer surplus?

- A from 1 to (1 + 2)
 ✓ B from 1 to (1 + 2 + 3 + 4)
 C from (1 + 2) to (1 + 2 + 3)
 D from (1 + 2) to (2 + 3 + 4 + 5)
- 11 What is an example of a product in joint demand with a smartphone?
 A an alternative brand of smartphone *Substitute*
 B a personal computer (PC) *Substitute*
 ✓ C headphones that can be used with a smartphone
 D the metals used in the manufacture of a smartphone *raw material*
- 12 A product has a high price elasticity of supply. *Elastic supply*
 What might explain this?

- A It has a high opportunity cost. *PPC*
 ✓ B It has a non-perishable nature. *high responsiveness*
 C It is classed as an inferior good. *YED*
 D It is classed as a luxury good. *YED*

6

13 What is likely to affect the position of the demand curve for tickets to pop concerts but **not** the position of the supply curve?

- ✓ A a change in incomes of potential customers *Demand shift*
- B a change in price of tickets to the concerts *movement*
- C a change in rents charged by venue owners *Supply shifts*
- D a change in seating capacity of concert venues *Q_s changes*

14 The table shows Lee's and Yim's price elasticity of demand for restaurant meals and cinema tickets.

Elastic
 $P \uparrow TR \downarrow$

$P \uparrow$
 $P \uparrow$

	Lee	Yim
restaurant meals	-1.2 <i>> 1</i>	-0.8 <i>< 1</i>
cinema tickets	-0.7 <i>< 1</i>	-0.3 <i>< 1</i>

Inelastic
 $P \uparrow TR \uparrow / TE \uparrow$

There is a rise in the price of both products.

What can definitely be concluded after these price changes?

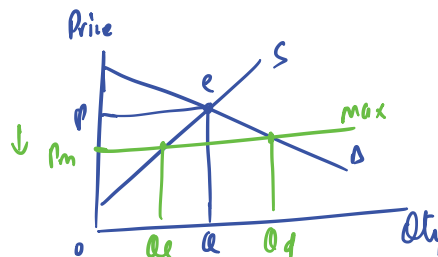
- A Restaurant owners will receive more income. *Not definitely, as Lee will reduce restaurant meals*
- B Lee will spend more money on both products. *Not on restaurant meals*
- ✓ C Yim will spend more money on both products. *Because of demand being inelastic, $P \uparrow TE \uparrow$*
- D Cinema owners will receive less income. *more income, inelastic demand.*

15 A government fixes a maximum price for a product in order to increase its consumption.

What would be the likely outcome of such a policy?

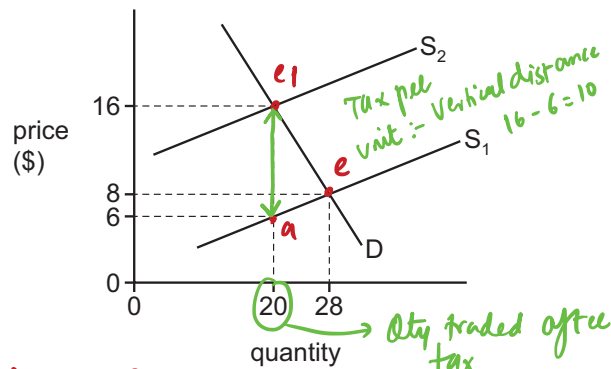
- A Consumption will fall if the maximum price is above the current equilibrium price. *It doesn't, $Q_d > Q_s$:- Shortage*
- B Consumption will rise if the maximum price is below the current equilibrium price. *Ineffective max price*
- C Production will fall if the maximum price is above the current equilibrium price. *Ineffective*
- ✓ D Production will fall if the maximum price is below the current equilibrium price. *you want this, but you don't get it.*

$\rightarrow Q_s \downarrow$ (contracts)



you want this, but you don't get it.

- 16 The diagram shows demand and supply curves for a good. S_1 is the original supply curve, S_2 is supply after a tax is added.



$$16 - 6 = 10 \times 20 = 200$$

How much tax revenue is earned by the government?

- A \$40 B \$160 ☒ C \$200 D \$320

- 17 What is a transfer payment?

- ☐ A the advertising expenditure of a firm
☒ B the allowance given by a parent to their child while at school
☐ C the rent paid to a land owner by a tenant farmer
☐ D the wage paid to a worker in the government service

A transfer payment is a payment of money for which there are no goods or services exchanged. Transfer payments commonly refer to efforts by local, state, and federal governments to redistribute money to those in need. In the U.S., Social Security and unemployment insurance are common types of transfer payments.

- 18 What best illustrates the process of privatisation?

- ☐ A a single private shareholder acquires complete control of an organisation
☐ B the purchase of government bonds by private sector commercial organisations
☐ C the purchase of shares in a private company
☒ D the transfer of public sector assets to the private sector

Privatization occurs when a government-owned business, operation, or property becomes owned by a private, non-government party. Privatization may also describe a transition that takes a company from being publicly traded to becoming privately held. This is referred to as corporate privatization.

- 19 What defines a progressive tax? (marginal rate of tax > Average rate of tax)

- ☐ A Low-income earners pay the same proportion of income in taxes as high-income earners.
☒ B Low-income earners pay a lower proportion of income in taxes than high-income earners.
☐ C Low-income earners pay less in taxes than high-income earners.
☐ D Low-income earners pay more in taxes than high-income earners.

Progressive taxation means higher tax rates for those with higher income or more wealth, so that those who earn or have more are taxed at a higher rate. Personal income tax based on graduated scales where the tax rate goes up as income level rises is probably the clearest example of progressivity.

- 20 An increase in what will shift the aggregate demand curve in an economy to the right? AD ↑
- ✓ A budget deficit ↑, G ↑, AD ↑
 - B consumer savings ↑, C ↓, AD ↓
 - C general price level ↑, C ↓, AD ↓
 - D interest rate ↑, C ↓, I ↓, AD ↓
- 21 Which effect of inflation is described as redistributive?
- A the improvement in the terms of trade
 - B the deterioration in the balance of trade
 - C the inconvenience of frequently changing prices
 - ✓ D the loss of purchasing power for people on fixed incomes (reduced real value (income) (increases the gap))
- 22 In which situation will a country's terms of trade improve? $\frac{X_{prices}}{M_{prices}} \times 100$
- A Its total value of imports rises less than its total value of exports. Not related
 - B Its volume of imports rises less than its volume of exports. Not related
 - ✓ C The prices of its imports rise by less than the prices of its exports. $X_{prices} \uparrow > M_{prices} \uparrow, ToT \uparrow$
 - D The value of its external payments rises by less than the value of its external receipts. TR Not related
- 23 Country X joins a customs union with country Y and will remove the tariff on its imports of good M from country Y. Common external tariff
- Under which conditions will trade creation in country X be the largest? → High responsiveness

	existing size of country X's tariff on imports of good M	price elasticity of demand for good M in country X
A	large ✓	-0.8
✓ B	large ✓	-1.4 ✓ (Elastic)
C	small	-0.8
D	small	-1.4 ✓ (Elastic)

- 24 What is likely to happen if there is a fall in the international value of a country's currency? Depreciation
- A a rise in the foreign currency price of its exports X prices ↓
 - ✓ B a rise in the Qty volume of its exports X prices ↓, X Qty ↑
 - C a fall in the domestic currency price of its imports M prices ↑
 - D a fall in the domestic price level AD ↑, P ↑

↳ Depreciation, Trade Surplus, ↑

- 25 From the same quantity of factors of production, country X and country Y each produce the following units of output.

country	sugar	textiles
X	30	20
Y	40	10

Country
 X S : T
 30 : 20
 Y S : T
 40 : 10

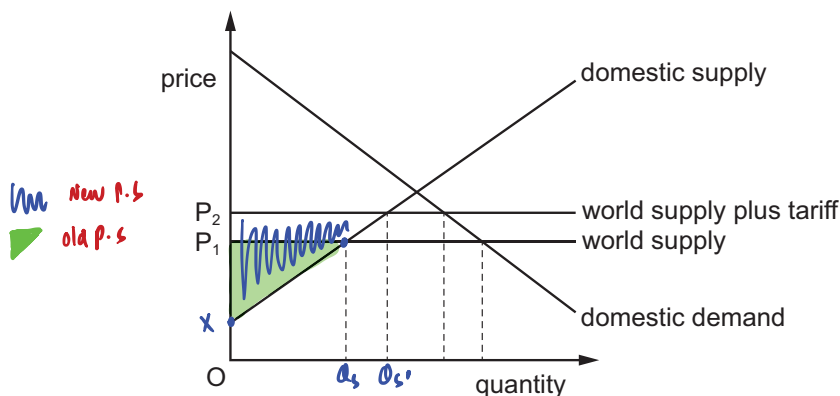
Which statement is correct?

- A Country X has absolute advantage in the production of both goods. *no, in textiles*
- B Country X has comparative advantage in the production of sugar. *Textiles*
- C Country Y has absolute advantage in the production of textiles. *no, lower output than X*
- ✓ D Country Y has comparative advantage in the production of sugar. *(lower opportunity cost)*
- 26 Following a 10% depreciation in the \$ value of the £ sterling, a UK exporter leaves the \$ price of the goods it sells in the US market unchanged. *Σ*

Other things being equal, what will be the effect on the revenue measured in sterling obtained by the manufacturer from its sales in the US?

- ✓ A It will increase. *P↓, Q↑, TR↑*
- B It will decrease.
- C It will be unchanged.
- D It will depend on the elasticity of demand for the manufacturer's good in the US.

- 27 The diagram shows the effect of introducing a tariff on a product.



What determines the producer surplus that the tariff generates for domestic producers?

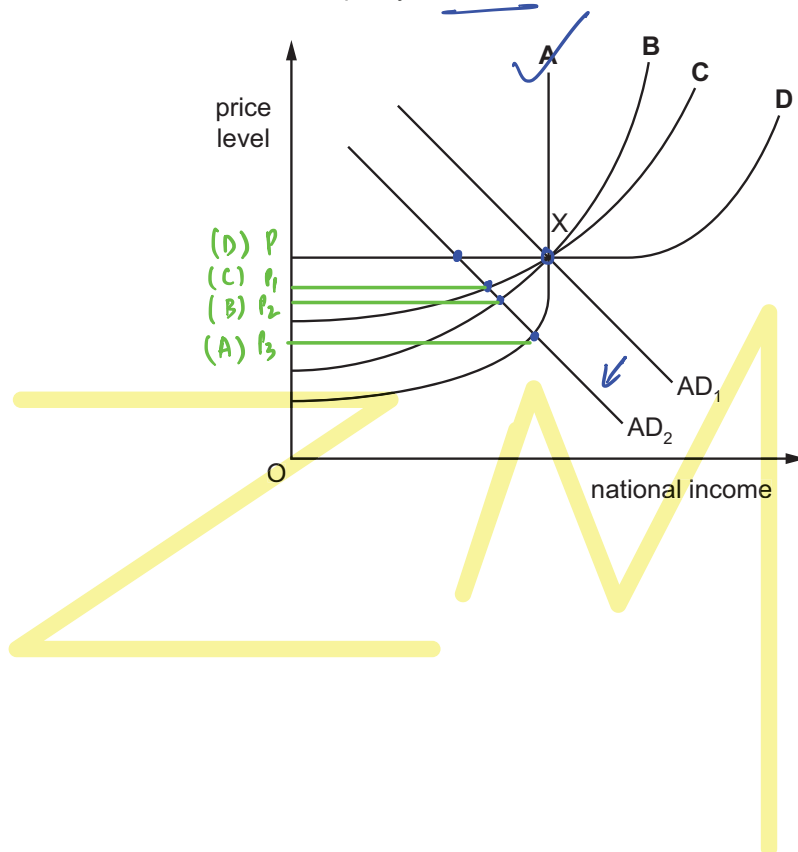
- A the price elasticities of domestic supply and demand *No*
- B the tariff rate and the price elasticities of both domestic demand and supply *No*
- C the tariff rate and the price elasticity of domestic demand *No*
- ☒ D the tariff rate and the price elasticity of domestic supply (*How much change in Qs*)
How much change in price
- 28 Which government policy is most likely to cause expenditure switching that will benefit a country's current account?
- A increasing import quotas *Quantity limit, Price ↑*
- B increasing income tax allowances *→ Inequality*
- C increasing spending on unemployment benefits *→ Inequality*
- ☒ D increasing subsidies to domestic firms *Prices ↓, competitive, n(TE) ↓.*
- 29 Which type of economic policy is likely to be considered the most effective by a government that has greater income equality as its primary aim?
- ☒ A fiscal policy *Progressive, regressive, transfer payments, direct provision*
- B international trade policy
- C monetary policy
- D supply side policy

11

- 30 The diagram shows four possible aggregate supply curves and an equilibrium point X. A government employs deflationary fiscal policy in order to reduce the rate of inflation in its economy. This shifts aggregate demand to AD_2 .

 $P \downarrow$

With which AS curve would this policy be most effective?



Question	Answer	Marks
1	A	1
2	B	1
3	A	1
4	B	1
5	B	1
6	D	1
7	D	1
8	C	1
9	D	1
10	B	1
11	C	1
12	B	1
13	A	1
14	C	1
15	D	1
16	C	1
17	B	1
18	D	1
19	B	1
20	A	1
21	D	1
22	C	1
23	B	1
24	B	1
25	D	1
26	A	1
27	D	1
28	D	1